



OPERATORS LEADING CAPITAL

FREQUENTLY ASKED QUESTIONS

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STRATEGY OVERVIEW

Q: What is the core strategy of the fund?

A: We acquire cash-generating subscription software businesses at deep discounts (typically 0.4–0.8x ARR) and convert them into high-margin, cash-flowing assets through operational restructuring.

Returns are driven by:

- Immediate margin expansion (target ~50% within 12 months)
- High retention of mission-critical revenue
- Reinvestment of operating cash into additional acquisitions

This is not a growth-dependent strategy. It is a cash yield and compounding model.

Q: What makes this strategy structurally different?

A: Three structural differences:

- Entry Price Arbitrage: We acquire below replacement value, not at market multiples.
- Self-Funding Growth: As shown in the model, acquisitions from Year 3 onward are funded by operating cash not new LP capital.
- Pre-Exit Value Creation: Significant value is created through cash generation, margin expansion, and portfolio scale before the final exit crystallizes that value.

AI & MARKET RISK

Q: AI will disrupt your strategy, won't it?

A: AI is disrupting the software market, but that disruption strengthens our opportunity. Our underwriting separates replaceable software from durable products embedded in mission-critical data, controls, and workflows. The current market has replaced both categories, creating a temporary opportunity to acquire durable businesses at distressed valuations.

- An estimated \$1–2T sell-off has repriced software assets broadly, often without distinguishing between replaceable and mission-critical products.
- Durable SaaS businesses are now available at entry valuations below 1x ARR in situations that historically commanded materially higher multiples.
- As the market distinguishes AI-vulnerable software from durable systems of record and workflow platforms, we expect that valuation gap to narrow.

Q: How do you distinguish AI-vulnerable software from durable software?

A: We underwrite the role the software plays in the customer's environment, not simply its features.

AI-vulnerable products tend to perform discrete tasks, automate narrow workflows, or compete primarily through the user interface. Durable products own or control something harder to replace: mission-critical data, systems of record, regulated workflows, controls, and deeply embedded integrations.

Healthcare is a good example. AI will become increasingly important across healthcare, but highly regulated clinical and administrative environments cannot simply replace governed systems, validated workflows, patient records, access controls, and audit trails with an ungoverned AI layer.

Our question is therefore not whether a product uses AI. It is whether AI can replace the underlying system—or whether AI ultimately depends on that system and its data to operate.

Q: Could AI eventually replace the systems of record you acquire?

A: AI will change how users interact with software, and in some cases it may replace the traditional interface entirely. We believe that makes the underlying data and system of record more—not less—important.

The value of a software platform is increasingly tied to what sits behind the interface: proprietary data, historical records, integrations, workflow control, permissions, compliance history, and the system that represents the customer's source of truth.

An AI agent can replace clicks and screens. It still needs authoritative data, permissions, business rules, and systems through which actions are executed.

The underwriting ownership of the data and workflow layer is more relevant than the durability of any existing UI.

Q: What happens if software valuations never recover?

A: Our return thesis does not require SaaS multiples to recover.

We assess these businesses first as future sources of cash flow. We acquire recurring revenue at distressed entry prices, expect some customer and revenue attrition, restructure the cost base, and build a larger platform capable of producing outsized annual free cash flow.

Our end-state is therefore not simply a collection of ARR waiting to be sold at a higher multiple. It is a scaled, highly profitable software platform generating substantial recurring cash.

If valuation multiples remain permanently lower, that cash flow still has significant economic value to the Fund. Multiple expansion is upside—not the foundation of the investment case.

Q: How does AI improve portfolio-company economics?

A: AI is built into our operating model at both the Fund and portfolio level.

We are developing centralized systems and shared services across the portfolio rather than recreating the same functions independently inside every acquired company. AI increases the leverage of that model across software development, support, finance, analytics, sales operations, administration, and other repeatable functions.

We have also been AI-first in building the investment platform itself. Our systems continuously monitor a large universe of software companies, identify changes in company condition, support initial assessment, and accelerate parts of our diligence process - all of which is not possible without deep understanding and integration of AI platform technology.

The same operating philosophy carries into the portfolio: centralized infrastructure, shared expertise, automation, and AI allow a smaller organization to manage a much larger revenue base.

The objective is not simply to add AI features to acquired products. It is to use AI to structurally reduce the cost of acquiring, operating, modernizing, and scaling software businesses.

TRACK RECORD & REPEATABILITY

Q: What evidence supports that this model is repeatable?

A: The operating model is derived from prior experience scaling and optimizing software businesses to 75–80% margins in a similar model within a privately held PE firm.

For underwriting, we deliberately assume:

- Lower margin outcomes (~50%)
- No reliance on revenue growth
- Conservative retention assumptions

The strategy is built on repeatable operational levers, not unique turnarounds. More importantly, our Management Team has worked together for years successfully delivering on this operating model. You can view case studies here

<https://www.prytaneumpartners.com/valkyrie-revival-fund-1/appendix.html>

Q: What makes the compounding model work?

A: Three things:

1. Revenue doesn't have to grow
2. Costs are rationalized quickly
3. Capital is recycled into additional acquisitions

All three are within operational control — not market-dependent.

MARKET OPPORTUNITY & SOURCING

Q: Why does this opportunity exist?

A: The lower middle-market software ecosystem is structurally inefficient:

- Founder fatigue and undercapitalization
- Sub-scale assets ignored by larger funds
- Brokers focused on higher-value transactions
- A growing number of stranded or “zombie” assets inside PE and VC portfolios

At the same time:

- AI disruption is increasing the number of companies requiring operational rehabilitation
- Many assets are operationally broken, not commercially broken
- Existing owners are increasingly motivated by resolution and liquidity rather than maximizing headline valuation

We are competing in a fragmented, under-optimized market with a growing supply of motivated sellers — not primarily in auction-driven processes.

Q: Why aren't more investors pursuing this strategy?

A: Because the strategy requires:

- 100% equity ownership and full operational control (not minority investing)
- Hands-on execution capability
- Willingness to acquire “messy” assets

Most capital cannot execute this model — it is operator-constrained, not capital-constrained.

CAPITAL DEPLOYMENT & PORTFOLIO CONSTRUCTION

Q: How is capital deployed over time?

A:

- Years 1–3: ~\$200M LP capital deployed into initial acquisitions
- Years 3–9: Acquisitions funded primarily through operating cash
- No reliance on additional LP capital

Q: How diversified is the portfolio?

A:

- Initial platform: ~5 assets
- Total portfolio: ~15–20 assets over fund life
- No single asset represents a majority of NAV

Risk is diversified across:

- Multiple verticals
- Independent revenue bases
- Separate customer cohorts

Q: What happens if deployment slows?

A: Net margin performance remains intact because:

- Existing assets generate cash profits
- Capital can be held or distributed
- The model does not depend on full deployment velocity

FINANCIAL MODEL & RETURN DRIVERS

Q: What drives returns in this model?

A: Four primary drivers:

1. Margin Expansion
2. Immediate cost restructuring and shared service operations drives profitability
3. Cash Flow Compounding Operating cash funds new acquisitions (visible from Year 3 onward)
4. ARR Scaling - ARR grows from ~\$20M to ~\$300M+ across the fund lifecycle

Q: How sensitive are returns to growth assumptions?

A: Growth or leverage are not considered in our strategy. The model delivers:

- Flat-to-modest ARR growth
- No reliance on multiple expansion

Returns are driven by cash yield and reinvestment, not top-line growth.

Q: How sensitive are returns to churn?

A: Churn is the primary sensitivity. However:

- Assets are selected for mission-critical use cases
- Revenue is embedded in customer workflows
- Operational improvements increase retention

Even under elevated churn:

- Margin expansion offsets revenue loss
- Assets remain cash-generative

DISTRIBUTION POLICY & LIQUIDITY

Q: When do LPs receive cash distributions?

A: Distributions can begin once:

- Pref + hurdle are satisfied
- Excess cash accumulates

Q: Are returns dependent on exit?

A: No. Although the exit return is significant, the model generates pre-exit returns via recurring distributable cash resulting in meaningful DPI prior to exit.

VALUATION FRAMEWORK

Q: How is the portfolio valued?

A: Valuation is based on:

- ARR scale
- Cash flow generation
- Portfolio durability

Exit guidance uses conservative benchmarks (4x ARR), well below market peaks.

Importantly:

- LP returns do not depend on multiple expansion
- Valuation is secondary to cash generation

RISK & DOWNSIDE PROTECTION

Q: What happens if the operating model underperforms?

A: We explicitly model a downside case where execution falls short:

- Net margins reach only ~25% (vs. ~50% base case)
- Revenue is flat-to-declining
- No reliance on exit multiple expansion

Even under these conditions:

- The portfolio remains cash-flow positive
- The fund continues to generate distributable cash
- LPs still achieve positive returns, albeit at reduced levels

This is enabled by:

- Low entry valuations (0.4–0.8x ARR)
- Immediate focus on profitability
- A model driven by cash generation, not exits

The strategy is designed to remain economically viable even under partial execution failure, not just in the base case.

Q: What is the biggest risk to the model?

A: Execution risk:

- Failure to achieve cost normalization
- Misjudging revenue durability

This is mitigated through:

- Full control acquisitions
- Standardized operating playbooks
- Conservative underwriting

EXECUTION MODEL

Q: How do you scale acquisitions without degrading performance?

A: Through systemization, not headcount.

- Each acquisition follows a standardized “Revival” process
- Shared services centralize all core functions
- Internal systems encode operational knowledge

This enables:

- Parallel execution
- Full turn-around to our performance floor within 4 quarters
- Rapid issue resolution

Q: What is the true operational bottleneck?

A: Sourcing and selecting the right assets — not integration.

We deliberately constrain:

- Deal selection
- Revenue quality thresholds

This ensures execution quality remains high.

ALIGNMENT, FEES & STRUCTURAL ADVANTAGES

Q: How does your model reduce fee drag?

A: In a traditional \$200M private equity fund, a 2% annual management fee would equal approximately \$20M over five years before any fee step-downs, offsets, or other adjustments.

Management fees are commonly funded through capital calls, which reduces the portion of committed LP capital available for acquisitions and other investments.

Our fee rate is conventional. The intended funding model is different:

- Management fees are expected to be increasingly supported by portfolio-generated cash flow as the portfolio develops
- During the early investment period, LP capital may be used to satisfy management fees and Fund expenses in accordance with the Fund documents
- As portfolio cash generation increases, the intention is to reduce reliance on LP capital for those fees

The objective is to preserve more LP capital for acquisitions, reinvestment, and portfolio growth over the life of the Fund.

This does not change the contractual management fee or make it contingent on performance; it changes the intended source of cash used to fund that obligation.

Q: How are GP incentives aligned with LP outcomes?

A: Alignment is embedded structurally:

- GP economics are tied to portfolio performance and cash flow generation
- Fee support increases only as assets produce revenue
- Underperformance directly impacts GP economics

The GP is economically aligned with realized performance, not capital raised.

Q: What is the Management Company Performance Allocation (MCPA)?

A: MCPA aligns the operating team with LP outcomes in an operator-led model.

- The strategy requires active ownership and execution, not passive investing
- MCPA allocates performance-based economics to the operators responsible for value creation
- It is structured transparently within the fund waterfall, not embedded in transaction-level costs

Importantly:

- MCPA is set at a percentage of exit proceeds
- It is subordinated to LP outcomes, paid only after:
 - Return of LP capital
 - Preferred return and hurdle
 - GP catch-up
- GPs and Founders do not participate, preventing duplication of economics

The MCPA ensures that execution is driven by dedicated operators whose incentives are directly tied to realized performance.

Q: How should LPs think about MCPA in the context of the overall fee structure?

A: The MCPA is a performance-based reallocation of economics, not an incremental layer of cost.

In traditional private equity:

- A meaningful portion of LP capital is consumed by fixed management fees
- Operator incentives are often indirect or inconsistently structured

In our model:

- Structural fee drag is reduced by shifting fee support toward portfolio-generated cash flow over time
- A portion of economics is instead allocated through the MCPA, which is:
 - Earned only upon realized value creation
 - Subordinated to LP returns
 - Paid to execution-focused operators, not capital providers

Result:

- Economics are redirected from fixed fee extraction toward performance-driven value creation
- Compensation is earned through outcomes, not activity

LP capital is primarily used to acquire assets, with fees increasingly supported by portfolio performance and economics directed toward value creation.

KEY PERSON & GOVERNANCE

Q: How is key person risk managed?

A: The model is designed to be repeatable beyond any single individual.

- Core operators are economically aligned through fund structures
- Operational knowledge is systemized, not individual-dependent
- Governance is embedded at the fund level

THE HARD QUESTIONS

Q: What has to go wrong for LPs to lose money?

A: These three conditions would need to occur simultaneously.

- Severe and sustained revenue collapse
- Failure to achieve cost reductions
- Inability to redeploy capital

Q: Why doesn't a larger fund replicate this?

A: This is a skill-constrained strategy, not a capital-constrained one.

- It requires hands-on control of under-optimized assets
- It is operationally intensive
- It does not scale through capital alone